

CHAPTER 13

Avoiding Money Pits

No matter how you cut it, the economy is inextricably linked to the rise and fall of the auto industry. And how we live our lives, where we live and work, and how we get around are all defined by our relationship to the car, whether we own one or not. In other words, cars are here to stay, and increasingly in some parts of the world, such as China and India, you don't have to be part of the middle class to afford them.

But cars also constitute the single biggest money pit many of us own, after our homes. Cars need gas, upkeep, to be stored and parked, cleaned and tuned. Let's look at the average cost of a midpriced sedan such as a 2013 Toyota Camry LE. It'll cost you about \$24,000 outright to buy one. But according to the American Automobile Association, to keep it on the road each year, your fixed costs (insurance, license/registration, and depreciation) will be another \$8,946.

The most insane aspect of owning a car is that, while it depreciates in value, your output (the money you spend to keep it on the road) only increases. Even for a newer car, like that 2013 Toyota. Then there's the cost of keeping gas in the car, which according to the Bureau of Labor Statistics will set you back another \$2,655 per year. That's the country's average fuel cost, but some cities, such as San Francisco, post higher gas prices because of the longer commutes.

So all told, your average car will cost you \$11,601 a year to keep on the road. Maybe that doesn't come as a shock to you. That's fine. I'm just asking you to be aware not just of the sticker price of